Stepping Stone or Exit Path? Training the Long-Term Unemployed in Denmark

Aidas Kriščiūnas [a,*], Jokūbas Narvydas [a] and Domas Pitrėnas [a]

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1. Policy summary

Elevator pitch. Denmark pairs generous income support with heavy spending on activation. Claimants whom caseworkers judge far from the labour market receive counselling, training, and supervised placements, and the state expects this support to end their benefit dependence. A randomised trial across 15 job centres tests whether one year of that support moves them into work, and it uncovers a second effect the designers did not intend.

The study. Arendt and Bolvig randomised 3,727 welfare recipients in 2016. All were at least 30, out of work for a year or more, and assessed as having limited employability. Treatment lasted one year: six weeks of intensive counselling, an internship in a regular workplace, and encouragement for the host firm to offer a few contracted hours while benefits continued. The sample was disadvantaged by design: half had been hospitalised in the previous five years, a quarter were immigrants, and fewer than half had worked in those five years.

Main findings. Employment without benefits peaked about 2 percentage points above the control group two years in, a large relative gain given the low control mean. Any employment rose about 5 points between one and two and a half years and fell to zero after three and a half. Participants worked about three extra hours per month and earned about USD 100 more per month, worth about USD 3,200 over five years against a cost of USD 4,560 per participant. Net societal benefit is negative at about USD 1,367, or USD 1,836 including the deadweight cost of taxation, and hospital visits, admissions, and measured mental health did not change.

Two patterns qualify this. Employment gains concentrated among Danish-born participants and those with recent work experience. Disability pension take-up rose about 3

[*] Corresponding author. E-mail address: aidas.krisciunas@evaf.stud.vu.lt

percentage points within three years, from 6 to 9 percent, and the rise was strongest for immigrants and for claimants with no recent employment. A year of supervised activity demonstrates what a claimant can do and documents what a claimant cannot do, and in Denmark the second kind of evidence feeds the municipal assessment that decides permanent disability pension eligibility.

Policy advice. Judge activation for disadvantaged claimants on two margins, because the benefit-exit margin can move against the employment margin. Monitor disability applications as a programme outcome rather than an unrelated administrative event. Expect the exit channel where disability benefits pay much more than social assistance, and do not promise fiscal savings: the Danish net societal benefit is negative.

2. Relevance for Lithuania

2.1. The target group exists, and it is large

Lithuania's long-term unemployment rate reached 2.5 percent of the labour force in 2025, up from 2.3 percent in 2024, and long-term claimants account for 36 percent of all unemployed people (Eurostat, series `lfst_r_lfe2en2`). The corresponding Danish rate is 0.9 percent. Lithuania therefore has proportionally more people in exactly the position the Danish trial targeted, and the 2016 Danish participants are not a Danish peculiarity: 36 percent long-term unemployment is the structural outcome of a small open economy that suffered a deep output collapse in 2009 and a second shock in 2020.

2.2. The stepping-stone leg is weak

Lithuanian active labour market policy is small. The OECD's evaluation of Lithuanian training and employment subsidies put total spending at 0.21 percent of GDP in 2019 against an OECD average of 0.45 percent, and participation at about 1 percent of the labour force against 5 percent across the OECD. The Employment Service's 2024 annual report shows 38,000 participants in activation measures, of whom 51.4 percent took training and 12,800 entered subsidised employment. Long-term unemployed people were 9.4 percent of all participants and only about 700 of the 12,800 subsidised placements. The group the Danish programme served is thus the group Lithuanian activation reaches least.

The Danish employment gain also ran through hours rather than full-time jobs. Lithuanian employers offer little part-time work: 6.3 percent of employment in 2025, against much higher shares in Denmark (Eurostat). A Lithuanian version of the programme would have to create the part-time margin it is meant to use, or the hours channel that carried the Danish result will stay closed.

2.3. The exit-path leg is institutionally different

Since January 2024 Lithuania assesses disability through the Agency for the Rights of Persons with Disabilities (ANTA), created by merging the former disability assessment service with the disability affairs department. The old capacity-for-work level became a participation level, and the assessment now weights medical criteria at 60 percent and individual needs at 40 percent, using a questionnaire that covers participation restrictions, environmental barriers, mobility, and housing. A treating physician makes the referral. Municipalities and Sodra pay the benefits afterwards.

The Danish mechanism does not transfer directly, because Lithuanian assessment does not require proof that activation was attempted. What does transfer, and more strongly, is the financial gradient. The average lost-capacity pension was EUR 420 per month in 2025, and the average social assistance disability pension was EUR 378 in April 2025 (Sodra). Average social assistance for a poor household was about EUR 148 per month in 2024, with the 2025 projection at EUR 190 (Ministry of Social Security and Labour), and the state-supported income that sets the eligibility threshold rose from EUR 221 in 2025 to EUR 233 in 2026. A disability pension is therefore worth roughly 2.2 to 2.8 times average social assistance. In the Danish trial the comparable ratio was about 1.5. Lithuania pays a larger premium for exiting through disability, while its assessment procedure contains no equivalent to the Danish requirement that activation be documented first.

2.4. What follows for policy

A Lithuanian pilot should keep the Danish design and change the assessment interface. Enrol long-term claimants in intensive counselling plus a subsidised internship, and record participation explicitly as evidence about what the claimant can do rather than as evidence about what the claimant cannot do. Link Employment Service records to Sodra and ANTA records so that disability applications become an observed outcome of the programme rather than an unrelated administrative event.

Two features of the Lithuanian setting make the employment effect plausibly larger than in Denmark and the exit effect plausibly larger as well. Social assistance is far below the minimum wage (EUR 1,038 gross in 2025), so the financial gain from working is much steeper than in Denmark, where benefits are generous. At the same time the disability pension premium over social assistance is steeper too. The programme could raise employment and accelerate pension entry at once, which is precisely the combination the Danish authors report.

The cost result warns against overselling. The Danish programme returned about 70 percent of its cost in discounted earnings and produced a negative net societal benefit. A Lithuanian version should be evaluated with the same randomised design and a pre-registered

analysis plan, because the case for spending rests on helping a group that current policy barely reaches, not on fiscal savings.

3. AI-use statement

Generative AI was used to draft and structure this submission, to summarise the assigned paper, and to check the consistency of the reported figures. Every number, citation, dataset name, and institutional detail was verified against the assigned paper, the cited Eurostat series, Sodra pension statistics, the Employment Service annual report for 2024, the OECD evaluation of Lithuanian active labour market policy, and the Ministry of Social Security and Labour. No AI-generated factual claim served as evidence, and no text was copied from the paper.